

8.3 VALUATIONS: METHODS THAT STARTUP CAN USE - 1

We have been discussing the basics of startup valuations.

Now, let us discuss the methods that can be practically used to value your company and come up with an offer.

This will help you create your offer for the potential investors.



We shall discuss a few common methods of valuation here that will help you arrive at a number for your company. However, note that not every method is applicable to each company as different methods suit different businesses.

Industry Metrics Multiple

Risk Factor Summation

Deals in Same Space

Asset Value

VC Method- Exit Method

Discounted Cash Flow

Scoreboard Valuation

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